however, in order not to break up our treatment of railroad-bond analysis. Many bond buyers may be moved also to carry the analysis of investment issues further than we suggest is necessary, and to be guided in their selection among all eligible issues by more detailed considerations of operating, traffic and financial statistics.

More exhaustive study of a railroad-bond issue falls under two headings: (1) the showing and prospects of the road as a whole and (2) the position of the individual bond issue.

Under the first division will come, in addition to the basic points already outlined, such matters as the character of the traffic and the efficiency of operation.

Character of Traffic. On this score a significant change in viewpoint has been forced on the investor in the last generation. Formerly, chief emphasis was laid upon diversification of traffic and upon a liberal percentage of better paying classes—e.g., miscellaneous and less-thancarload lot shipments. More recent developments have proved this older viewpoint unsound. The higher rate classes of traffic have turned out to be especially vulnerable to truck competition; and some of the roads with the "choicest" quality of traffic have fallen behind most since 1929. At the other extreme we find that the few consistently profitable carriers have been mainly the eastern soft-coal lines—Chesapeake and Ohio, Norfolk and Western, Virginian, and (to a lesser extent) Western Maryland—which have concentrated on a single type of low-rate freight movement which they have been able to handle with extraordinary economy.[9]

By contrast, the anthracite carriers have had a very disappointing and difficult time, due to a severe decline in the use of hard coal because of fuel-oil competition. The complete change in the relative position of the hard- and the soft-coal carriers between 1923 and 1938 is shown graphically in the following table and constitutes a warning to the security buyer not to accept the present or the past as a guarantee of the future. (This warning may be applicable to the soft-coal roads themselves, whose prosperity could conceivably vanish as did that of the anthracite carriers.

[9] The operating ratio of Chesapeake and Ohio in 1937 was only 56.95% as compared with 74.87% for all Class I railroads. This characteristic places the eastern soft-coal carriers in a group apart—almost in a different industry. Incidentally, they have been greatly favored by the growth of output of their shippers—largely in the Pocohantas field—at the expense of higher cost mines elsewhere.